

EU Artificial Intelligence Act

What the AI Act regulates, how the risk-based model works, obligations for providers and deployers, the 2026 Omnibus timeline, and a practical compliance checklist.

Regulation (EU) 2024/1689

Risk-Based Framework

GPAI & GenAI Rules

2026 Omnibus Update

BANNED

Prohibited

STRICT CONTROLS

High Risk

DISCLOSURE

Transparency

LIGHT TOUCH

Minimal Risk

FOUNDATIONS

What the EU AI Act Is

The European Union's comprehensive legal framework for artificial intelligence — obligations depend on what the system does, where it is used, who provides or deploys it, and the level of risk it creates.

Why It Matters

The Act is not only about AI model quality. It regulates AI systems and general-purpose AI models across the value chain, including **providers, deployers, importers, distributors, and certain users**. It can apply to organizations outside the EU when they place AI systems or models on the EU market, or when the system's output is used in the EU.

Core Ideas in the Act

- A common definition of an AI system and a risk-based regulatory structure.
- Prohibitions for selected AI practices considered unacceptable.
- Strict requirements for high-risk AI systems.
- Transparency duties for certain interactive, generative, biometric, and deepfake-related uses.
- Specific rules for providers of general-purpose AI (GPAI) models, with additional obligations for models with systemic risk.
- Governance and enforcement through national authorities, the European AI Office, and other EU bodies.

Risk Categories — Simple View

CATEGORY	MEANING	TYPICAL EXAMPLE
Prohibited	Selected practices are banned.	Certain manipulative practices, social scoring, some biometric use.
High Risk	Strict lifecycle controls and compliance obligations.	Recruitment, credit scoring, medical or safety-related systems.
Transparency	Users informed or AI content marked/labeled in defined cases.	Chatbots, deepfakes, synthetic content.
Minimal	No specific mandatory AI Act controls beyond general law.	Spam filters, many low-impact productivity tools.

CURRENT STATUS
(AUG 2026)

The AI Act entered into force on 1 August 2024. Prohibited-practice rules began applying in February 2025; GPAI obligations began applying in August 2025; Article 50 transparency duties apply from 2 August 2026. The 2026 AI Omnibus extended high-risk deadlines: many Annex III high-risk rules now apply from 2 December 2027, while high-risk AI embedded in regulated products applies from 2 August 2028.

SCOPE & APPLICABILITY

Who Is Regulated? Providers, Deployers & the AI Value Chain

The Act assigns obligations based on the role an organization plays. A single company can hold more than one role for different systems.

Roles & Responsibilities	
Provider Develops an AI system/model, or has it developed, and places it on the market or puts it into service under its own name. <i>Design-time compliance, documentation, testing, instructions, conformity route.</i>	Deployer Uses an AI system under its authority for professional or organizational purposes. <i>Use per instructions, monitoring, human oversight, input-data responsibility.</i>
Importer / Distributor Places or makes AI systems available in the EU supply chain. <i>Check required compliance information; cooperate with authorities.</i>	GPAI Model Provider Provides a general-purpose AI model that can support many downstream systems. <i>Technical documentation, downstream information, copyright policy, training summary.</i>

Extraterritorial Reach

- A provider does not have to be established in the EU for the Act to apply if it places an AI system or GPAI model on the EU market.
- Certain non-EU providers can also be in scope where the output of their AI system is used in the EU.
- Organizations should therefore assess scope before assuming the Act applies only to EU-headquartered companies.

Practical question. For each AI use case, ask: Are we the provider, deployer, or both? Are we using a third-party model? Is the system used by people in the EU, or are its outputs used there? The answer determines the compliance obligations.

A Useful Role-Mapping Artifact

RECORD THESE FIELDS PER USE CASE

- AI system / model name and purpose.
- Provider and deployer entities.
- Third-party model, API, RAG, tool, or platform dependencies.
- Countries where the system is offered or outputs are used.
- Responsible legal/compliance and technical owners.

RISK CLASSIFICATION

Prohibited Practices & the High-Risk Classification

The first compliance question is not "what controls do we need?" but "what category is this AI use case?"

Prohibited Practices — Examples

- ✗ Certain subliminal, manipulative, or deceptive techniques that materially distort behavior and cause or are likely to cause significant harm.
- ✗ Certain exploitation of vulnerabilities related to age, disability, or specific social/economic situations.
- ✗ Social scoring in defined circumstances.
- ✗ Certain biometric categorisation and remote biometric identification practices, subject to the Act's detailed conditions and exceptions.
- ✗ The 2026 AI Omnibus also introduced a prohibition on AI systems that generate non-consensual sexually explicit/intimate content or child sexual abuse material.

Do not simplify Article 5 into a slogan. The detailed legal tests and exceptions matter. A practical governance process should route any potentially prohibited use case to legal/compliance review before development or deployment.

What Makes a System High-Risk?

High-risk systems arise mainly in two ways: (1) AI used as a safety component of, or itself constituting, certain regulated products; and (2) AI systems used in sensitive areas listed in Annex III, subject to the Act's classification rules.

Annex III High-Risk Areas

Biometrics

Certain biometric identification, categorisation, or recognition uses.

Critical Infrastructure

AI used in management or operation where failure can affect safety.

Education / Vocational Training

Admissions, scoring, exam-related decisions.

Employment / Worker Management

CV screening, recruitment, promotion, termination-related decisions.

Essential Services

Credit scoring or access to important private/public services.

Law Enforcement

Certain evidence, risk, or investigative uses.

Migration / Border Control

Certain visa, asylum, or border-management uses.

Justice / Democratic Processes

Certain systems assisting judicial or democratic functions.

HIGH-RISK AI

What High-Risk AI Systems Must Do

The Act requires lifecycle controls rather than a one-time test. Providers must build compliance into development, documentation, deployment support, monitoring, and corrective action.

Provider Requirements

REQUIREMENT	WHAT IT MEANS IN PRACTICE
Risk-management system	Identify, analyse, evaluate, mitigate, test, and continuously manage foreseeable risks.
Data governance	Use appropriate data-governance practices and sufficiently relevant/representative data where required.
Technical documentation	Maintain documentation showing design, intended purpose, performance, limitations, testing, and compliance.
Logging / traceability	Enable recording of events appropriate to the intended purpose and risk.
Transparency to deployers	Provide clear instructions, capabilities, limitations, expected performance, and conditions of use.
Human oversight	Design and deploy so qualified people can understand, supervise, intervene, or stop use where appropriate.
Accuracy, robustness, cybersecurity	Meet appropriate levels throughout the lifecycle and respond to errors, attacks, and changes.
Post-market responsibilities	Monitor operation, investigate serious incidents, take corrective action, and cooperate with authorities.

Key Deployer Obligations for High-Risk AI

- ▶ Use the system according to the provider's instructions and take appropriate technical/organizational measures.
- ▶ Assign human oversight to people with sufficient competence, authority, and support.
- ▶ Monitor operation and act on identified risks or serious incidents.
- ▶ Where the deployer controls input data, ensure it is relevant and sufficiently representative for the intended purpose.
- ▶ Public authorities and certain public-service deployers may need a fundamental rights impact assessment before first use.
- ▶ Additional information duties can apply in workplaces and where AI assists decisions about individuals.

EXAMPLE — AI RECRUITMENT SYSTEM

The compliance package is much more than model accuracy. It can include risk management, dataset governance, bias testing, documentation, logging, human review, employee/candidate notices, monitoring, incident handling, and evidence that the organization can intervene when the system behaves incorrectly.

GENERATIVE AI

Generative AI, Transparency & GPAI

The Act separates obligations for certain AI systems from obligations for general-purpose AI models — especially important for organizations using LLMs, GenAI platforms, or foundation models.

Article 50 Transparency Duties — Applicable from 2 August 2026

- Providers of AI systems that directly interact with people, such as chatbots or AI agents, must ensure people are informed that they are interacting with AI unless this is obvious.
- Providers of generative AI systems must support detection of AI-generated/manipulated content through effective machine-readable marking where required.
- Deployers have disclosure duties for deepfakes and certain AI-generated or manipulated public-interest text without human review/editorial control.
- Deployers also have information duties for emotion recognition and biometric categorisation uses.

Transparency is not only a UI banner. For generative content, compliance can include both machine-readable marking by providers and clear human-facing disclosure by deployers. The Commission published 2026 guidelines and a voluntary Code of Practice to help demonstrate compliance.

General-Purpose AI (GPAI) Model Obligations

All GPAI Model Providers	Additional Duties — Systemic Risk GPAI
Maintain technical documentation about the model and development process.	Notify the AI Office when a model meets the systemic-risk criteria.
Provide downstream information needed to understand capabilities and limitations.	Assess and mitigate systemic risks.
Implement a policy to comply with EU copyright law and rights reservations.	Report serious incidents.
Publish a sufficiently detailed summary of training content.	Apply appropriate cybersecurity protections.

ENFORCEMENT
TIMING

GPAI obligations became applicable on 2 August 2025. From 2 August 2026, the Commission can enforce full compliance for providers within its competence.

IMPLEMENTATION

Timeline, Enforcement & Using the Act as a Reference

The Act entered into force in 2024 but applies in stages. The 2026 AI Omnibus changed important deadlines — always use current Commission guidance rather than older summaries.

Implementation Timeline

- 1 Aug 2024 AI Act entered into force.
- 2 Feb 2025 Prohibited practices and the AI-system definition began applying. AI-literacy rules originally applied from this date; the 2026 Omnibus revised related timing.
- 2 Aug 2025 Governance rules and GPAI-provider obligations began applying.
- 2 Aug 2026 Article 50 transparency obligations apply; Commission enforcement powers for GPAI obligations are active.
- 2 Dec 2027 High-risk rules for many Annex III sensitive-area systems apply under the 2026 Omnibus timeline.
- 2 Aug 2028 High-risk rules for AI embedded in regulated products apply.

Penalties — Headline Figures

€35M / 7%

Prohibited-practice violations — up to EUR 35 million or 7% of worldwide annual turnover, whichever is higher, subject to the Act’s conditions.

€15M / 3%

Many other operator, notified-body, and Article 50 transparency violations — up to EUR 15 million or 3% of worldwide annual turnover.

Incorrect, incomplete, or misleading information to authorities can attract lower but still significant penalties.

A Practical Way to Use the Act

- 1 Scope the system and identify your role**
Provider, deployer, importer/distributor, GPAI provider.
- 2 Classify the use case**
Prohibited? High risk? Transparency risk? Lower risk?
- 3 Map obligations to lifecycle stages**
Design, data, testing, documentation, deployment, human oversight, monitoring.
- 4 Identify sector-specific rules**
Data protection, medical-device, employment, consumer, cybersecurity, or financial-services law.
- 5 Build evidence**
Risk assessment, technical documentation, test results, logs, notices, human-oversight plan, approvals, incident records.
- 6 Re-check Commission guidance and timelines before go-live**
Implementation guidance and standards continue to evolve.

Reference Hierarchy



WORKING REFERENCE

Practical EU AI Act Checklist

A practical training aid, not legal advice. Adapt to the specific AI system, sector, Member State, and organizational role.

SCOPE & ROLE

☐ Have we documented the AI system/model and intended purpose?

☐ Have we identified whether we are provider, deployer, importer/distributor, GPAI provider, or multiple roles?

☐ Does the AI Act apply territorially to our use case?

☐ Have we identified other EU/national laws that also apply?

RISK CLASSIFICATION

☐ Could the use case fall under a prohibited practice?

☐ Is it a high-risk system under product rules or Annex III?

☐ Does Article 50 transparency apply?

☐ Is a general-purpose AI model involved?

HIGH-RISK CONTROLS

☐ Risk-management process documented and operating?

☐ Data-governance and testing evidence available?

☐ Technical documentation and instructions current?

☐ Logging / traceability enabled?

☐ Human oversight assigned and tested?

☐ Accuracy, robustness, cybersecurity, monitoring, and incident processes in place?

GENAI / GPAI

☐ Users informed when interacting with AI where required?

☐ AI-generated/manipulated content marked or labeled where required?

☐ Deepfake / public-interest disclosure process defined?

☐ If GPAI provider: documentation, downstream information, copyright policy, training-content summary completed?

☐ If systemic-risk GPAI: risk mitigation, incident reporting, cybersecurity, and AI Office notification addressed?

GOVERNANCE & EVIDENCE

☐ Named accountable owners and approval authorities?

☐ Legal/compliance review completed for sensitive use cases?

☐ Fundamental-rights impact assessment performed where required?

☐ Deployment / go-live approval criteria defined?

☐ Post-market monitoring and corrective-action processes operating?

☐ Evidence retained for audits, authorities, and internal review?

Reference Set

- Regulation (EU) 2024/1689 — Artificial Intelligence Act.
- European Commission — AI Act overview and "Navigating the AI Act" FAQ.
- European Commission — Article 50 transparency guidelines and Code of Practice.
- European Commission — GPAI guidelines and General-Purpose AI Code of Practice.
- European Commission / AI Office — high-risk classification guidance, AI Act Service Desk, and implementation updates.

REMEMBER

This is a practical training aid, not legal advice. Classify the use case first, map obligations to lifecycle stages, build evidence continuously, and re-check Commission guidance before go-live — the Omnibus process shows the timeline itself can still change.